

[Figure 42.5](#) Another failure of a complex head-and-shoulders top. This one fails to decline more than 5% below the breakout point. An ascending broadening wedge takes shape in late November and December.

I regard the complex top as a failure because price fails to drop more than 5% after the breakout.

Are there any clues to the failure of this chart pattern? The volume pattern is flat. It shows no tendency to diminish over time. A receding volume pattern is not a hard-and-fast rule, so I do not consider that to be unusual. To answer the question, a closer examination of the fundamentals on the company may provide some clues. Usually in cases like this, underlying support stops a down trend. The May–June broadening top represents a consolidation region that supported price in December.

Statistics

[Table 42.2](#) shows general statistics.

Number found. I located only 880 complex tops with the first in August 1991 and the most recent in October 2019, in 581 stocks. Not all stocks covered the entire span, and some no longer trade.

Reversal (R), continuation (C) occurrence. Since these patterns form at the top of an upward price trend with a downward breakout, they all act as reversals.

Average decline. The decline from a complex top is quite good when compared to other bearish chart patterns. In bear markets, the decline averages 23%, substantially above what we see in bull markets. That makes intuitive sense because the receding tide lowers all boats.

Standard & Poor's 500 change. The table shows the influence of the general market on the average decline. If the general market is declining, find a bearish chart pattern. In a rising market, trade only bullish chart patterns for the highest rewards (trade with the trend).

Days to ultimate low. It takes about 2 months or less for price to reach the ultimate low. Notice how the 42-day average decline in bear markets is less than the 59-day bull market number, yet price drops further. The bear